Behavioral Economics

In the previous section, “behavioral coaching” was suggested to have the biggest impact on real-world investor returns. In Vanguard’s analysis, being able to overcome your own behavioral quirks could add more than 1.5 percent to your returns, as opposed to falling victim to your own human tendencies. If an advisor can successfully provide behavioral coaching to clients, stopping them from both losing their cool and taking drastic, hasty actions in times of market stress, then the outcome can still be a net win for the clients after accounting for fees. Even for those who generally always make the right decision regarding their portfolios, a single investment mistake (such as getting out of the stock market in late 2008/early 2009) made near retirement could overturn years of good decision-making. The impact of making a wrong financial decision as you get older or wealthier becomes harder to overcome. Sequence-of-returns risk has a corollary here: the timing of mistakes can lead some to have a bigger impact on the lifetime standard of living than others.

To further quantify this matter, Financial Engines published a study in May 2014 with Aon Hewitt that looked at outcomes for defined-contribution retirement plan participants between 2006 and 2012. The 30.3 percent of participants who elected to receive some form of help with their retirement plan on average earned 3.32 percent more per year, net of fees, relative to those not receiving investment help. If you have a $1 million portfolio, that’s over $30,000 you’re leaving on the table. The study also noted that 60.5 percent of those not receiving help were taking inappropriate amounts of risk, including a large group of near-retirees holding overall portfolios that were more volatile than the S&P 500.

With behavioral coaching being the biggest factor in improving financial outcomes, further exploration is warranted into the types of behaviors that lead investors astray; this can highlight the importance of having someone serve as a sounding board and provide input when working your way through a lifetime of financial decisions. A short introduction to the topic of behavioral finance would be beneficial at this juncture.